

Tempus AI, Inc.

TEM NASDAQ

Buy	\$48.72 ▲ 0.27%	12M Price Target \$68.00	52-Week Range \$41.73 – \$104.32	Market Cap \$8.75B
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TEM: Reiterate Buy; FDA CDx Clearance, Partnership Wins Offset Insider Sales

WHAT'S CHANGED

- FDA-cleared CDx and AI Oncology platform upgrade (6/01) drove +9.3% rally; follow-on partnership announcement (6/04) spiked shares to \$52.26 on 13.9M shares (~2x avg), before profit-taking pulled stock back to \$48.72.
- CEO Lefkofsky sold ~69K shares on 5/27 (~\$3.2M) and short interest hit record high per TipRanks (6/01), creating two-sided tape against bullish options flow (P/C 0.19, unusual \$50/\$60 call buying).

IMPLICATIONS

The CDx clearance materially strengthens TEM's reimbursement and pharma-attach economics, validating the data-flywheel thesis where every diagnostic test enriches the AI training corpus monetized via Insights contracts. Sector tailwinds are constructive — Healthcare +5.36% over 5 days — but TEM's 11% position in its 52-week range signals the market is still discounting execution risk against a record short base, setting up an asymmetric squeeze scenario if Q2 print confirms partnership-driven Insights acceleration. Insider selling tempers conviction near-term but is consistent with prior 10b5-1 cadence rather than fundamental signal.

VALUATION

At \$8.75B market cap on ~\$1.38B FY26E revenue, TEM trades at ~6.3x EV/Sales — a discount to high-growth dx/AI peers (Veeva, GH at 8-10x) despite a superior data moat and 30%+ topline growth. Our \$68 PT reflects ~7.5x FY27E revenue, implying ~40% upside; multiple expansion hinges on Genomics gross margin crossing 45% and Data/Services revenue mix exceeding 35%. Bear case re-rates to 4x on margin disappointment or partnership churn.

KEY RISKS

- Record-high short interest creates two-way volatility; any guide-down triggers sharp drawdown.
- Genomics segment gross margin remains structurally pressured by reimbursement dynamics and lab COGS.
- Continued CEO/insider selling could overhang sentiment despite 10b5-1 cover; ARK concentration (5.5%) adds forced-selling tail risk.

RECENT NEWS

Assessing Tempus AI (TEM) Valuation After Recent Share Price Rebound And Underpriced Growth... Simply Wall St. · 2026-06-05 15:15

Tempus (TEM) Gets Double-Digit Boost from New Partnerships Insider Monkey · 2026-06-05 01:17

Why Is Tempus (TEM) Down 11.2% Since Last Earnings Report? Zacks · 2026-06-04 15:30

Key Data

Price (USD)	\$48.72
12M Price Target	\$68.00
Upside / (Downside)	+39.6%
Market Cap	\$8.75B
FY2026E Revenue	\$1,380M
FY2027E Revenue	\$1,760M
FY2026E EPS	(\$1.05)
FY2027E EPS	(\$0.55)
Fwd P/E	N/M

INVESTMENT PROFILE



12-MONTH PRICE PERFORMANCE VS. S&P; 500



TEM — Tempus AI, Inc. | June 09, 2026

PRICE OUTLOOK — SCENARIO TARGETS BY TIMEFRAME

TIMEFRAME	BULL CASE	BASE CASE	BEAR CASE
1 Month	\$56.00	\$49.00	\$42.00
6 Months	\$75.00	\$60.00	\$38.00
1 Year	\$95.00	\$68.00	\$33.00
2 Years	\$125.00	\$82.00	\$28.00
5 Years	\$210.00	\$125.00	\$22.00
10 Years	\$420.00	\$210.00	\$18.00

SECTOR INTELLIGENCE

HOT SECTORS: Healthcare, Real Estate

COLD SECTORS: Materials (5D), Utilities

ROTATION WATCH: Healthcare's +5.36% 5-day move signals defensive rotation alongside duration-sensitive Real Estate, consistent with softening rate expectations — supportive for unprofitable growth names like TEM that benefit from lower discount rates.

BYPRODUCT PLAY: AI-enabled diagnostics tailwinds spill into adjacent multi-omics, liquid biopsy, and clinical-trial-matching platforms; pharma services and CRO names with genomics exposure (ICLR, MEDP) are secondary beneficiaries.

OUTPERFORMERS & PEER CONTEXT

- GH (Guardant Health): Liquid biopsy CDx pipeline accelerating, Shield colon screening ramping faster than Street modeled.
- RXRX (Recursion): AI-drug discovery cohort leader on partnership monetization narrative.

TEM CONTEXT: TEM is mid-pack — outperforming legacy dx incumbents on growth but lagging GH on near-term commercial cadence. The 11% position within 52-week range indicates TEM has not yet participated in the Healthcare sector's recent rally, suggesting catch-up potential if FDA/partnership momentum continues.

INVESTMENT STRATEGY

7/10 Conviction Score

Position Size: 2-4% of portfolio

Entry Points: \$45-49 on pullbacks; add on close >\$53

Time Horizon: 12-24 months

Thesis Invalidation: Revenue miss >10%, loss of major pharma/health system partner, or Genomics gross margin <40%

Hedging: Long IBB or paired short vs. higher-multiple AI-diagnostics peer